

Financial Investment Tools	
Bank Fixed Deposits (FDs)	Superannuation
Bank Recurring Deposits (RDs)	Gold
PPF (Public Provident Fund)	Stocks
EPF (Employee Provident Fund)	Bonds
VPF (Voluntary Provident Fund)	Mutual Funds
National Pension Scheme (NPS)	FMPs (Fixed Maturity Plans) of MFs
Sukanya Samridhi Scheme (SSS)	Commodities
Gratuity	Real Estate

Bank Fixed Deposits (FDs)

This is one of the easiest short-term investment strategies and planning tools available in your portfolio. Not only are your investments relatively safe with fixed deposits, but you will also have the liquidity to encash them at your will.

The term fixed deposit refers to an investment method where you can deposit money in a financial institution to earn interest for the life of investment period. It is called a fixed deposit because the investment period is fixed at the start of the investment. Fixed deposits are also called term deposits or time deposits in the US and bonds in the UK.

A fixed deposit is considered to be the lazy man's investment method because the risk involved is almost zero. It is also the safest and most secure form of investment. Your money is deposited in the safest place, i.e. the banks.

When you invest your money in a fixed deposit, your money is working for you even while you sleep. Your money is like an employee (or a slave) whom you do not have to pay a monthly salary to. It will work to make more money for you until the fixed deposit tenure is over.

The important characteristics of a fixed deposit are the rate of return (interest rate) and the investment time period. A certificate of deposit is a